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Philip Morris Profit Falls on Lower Volumes

Shipment volume declined in each region, including in Europe.

By Joshua Jamerson

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Packs of Marlboro cigarettes are displayed for sale at a convenience store in Somerville, Mass., in 2014. REUTERS

Philip Morris International Inc.'s profit declined more than Wall Street anticipated as shipment volume slipped in each of its geographic divisions, including in Europe.

Shares fell 2.3% to \$100.65 a share in premarket trading. The stock had risen 17% so far this year through Monday's close.

The cigarette maker said currency headwinds were abating and it raised its 2016 earnings forecast to a range of \$4.45 to \$4.55 a share on a reported basis, up from prior guidance of \$4.40 to \$4.50 a share. Excluding unfavorable currency impact, the company expects adjusted per-share earnings growing 10% to 12% from the prior year.

The company still expects most growth to come in the second half of the year, particularly in the fourth quarter.

Philip Morris, which sells the leading Marlboro brand and others internationally, had seen its cigarette volumes grow amid an improving European economy.

However, in May the European Union's highest court rejected a challenge by Philip Morris and other tobacco companies against a tough new antismoking law. The 2014 tobacco directive bans menthol cigarettes, mandates bigger warning labels on cigarette packaging and, for the first time, sets limits on electronic cigarettes—including on how much nicotine they can contain. A legal challenge against plain packaging in the U.K. also failed in May.

Shipments of Marlboro, easily its largest brand by volume, declined 3.1% while shipments of L&M, its second largest brand, edged up 0.3%.

André Calantzopoulos, Philip Morris's chief executive, said cigarette shipment volume was hurt by "declines in low-margin geographies."

For the period ended June 30, cigarette volume fell 4.8% to 209.3 billion units, as shipments declined across all its geographic segments. Shipment volume declined by 5.9% in Latin America and Canada, slid 7.9% in Asia, and fell 4% in the Eastern Europe, Middle East and Africa unit. Volume edged down 0.8% in the European Union, where the company gets about one-third of its revenue.

The company's stock has risen this year along with other tobacco giants Altria Group Inc. and Reynolds American Inc., as investors have sprung for high dividend yields. Philip Morris yields about 4%. But Philip Morris investors are paying a higher premium for a company facing tougher regulations overseas and constant currency risk compared with its domestically-focused peers.

Over all, Philip Morris reported a profit of \$1.79 billion, or \$1.15 a share, down from \$1.89 billion, or \$1.21 a share, a year earlier. Analysts had forecast \$1.20, according to a

Thomson Reuters poll. Revenue excluding excise taxes fell 3.1% to \$6.65 billion, below the \$6.77 billion in revenue analysts had forecast.

Write to Joshua Jamerson at joshua.jamerson@wsj.com

Joshua Jamerson is the The Wall Street Journal's deputy politics editor, based in Washington. Most recently, he was the East Coast bureau chief on the U.S. News desk, leading coverage of national affairs in major regions of the country ranging from Boston to Miami and across the Deep South. Previously he was a national politics reporter in...

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